University of Uyo

Faculty of Social Sciences

Department of Economics

Course Title: ECO 213 - Principles of Macroeconomics

First Semester- 2023/2024 session

Course Overview:

This course provides an introduction to core macroeconomic concepts and models, covering the distinctions between microeconomics and macroeconomics, key economic measures, and the factors that drive consumption, saving, and investment. Students will gain a foundational understanding of how these variables interact within the broader economy, including the government's role within a three-sector model.

Week 1: Introduction to Economics and Economic Systems

- **Topics**:
  - Distinction between Microeconomics and Macroeconomics
  - Economic goals: Efficiency, growth, stability, and equity
  - Partial Equilibrium vs. General Equilibrium: Definitions and Applications
- **Learning Objectives**:
  - Differentiate between micro and macroeconomic perspectives.
  - Define and contextualize partial and general equilibrium within the economic framework.

Week 2: Goals of Macroeconomics

- **Topics**:
  - Objectives of Macroeconomic Policy: Economic growth, price stability, and full employment
  - Trade-offs and Policy Conflicts
- **Learning Objectives**:
  - Identify and describe the primary goals of macroeconomic policy.
  - Analyse the potential trade-offs between macroeconomic objectives.

Week 3: Gross Domestic Product (GDP) - Concepts and Components

- **Topics**:
  - Definition and Importance of GDP
  - Components of GDP: Consumption, Investment, Government Spending, and Net Exports
- **Learning Objectives**:

- Understand the structure of GDP and its components.
- Calculate GDP using the expenditure approach.

Week 4: Calculation of GDP and Related Measures

- **Topics:**
  - Methods of Calculating GDP: Expenditure, Income, and Production Approaches
  - Gross National Product (GNP) and Net National Product (NNP)
- **Learning Objectives:**
  - Apply different methods to calculate GDP.
  - Differentiate between GDP, GNP, and NNP.

Week 5: Price Indexes and GDP Deflator

- **Topics:**
  - GDP Deflator: Definition and Calculation
  - Uses of the GDP Deflator in Measuring Inflation
  - Comparison with Consumer Price Index (CPI)
- **Learning Objectives:**
  - Calculate and interpret the GDP deflator.
  - Compare GDP deflator and CPI as measures of inflation.

Week 6: Cost of Living and Consumer Price Index (CPI)

- **Topics:**
  - Concept of Cost of Living and the Use of CPI
  - Calculation of CPI and Inflation Rate
- **Learning Objectives:**
  - Explain how the CPI is used to measure changes in the cost of living.
  - Calculate inflation using CPI data.

Week 7: National Income and its Components

- **Topics:**
  - National Income: Definition and Components
  - Derivatives of National Income: Personal Income, Disposable Income, etc.
- **Learning Objectives:**
  - Define national income and identify its major components.
  - Understand the calculation and significance of different income measures.

Week 8: Consumption and Savings Theories

- **Topics:**
  - Theories of Consumption: Absolute Income Hypothesis, Life-Cycle Hypothesis, and Permanent Income Hypothesis
  - Savings Behaviour and its Determinants
- **Learning Objectives:**
  - Describe key theories of consumption and saving.
  - Identify factors that determine consumption and saving rates.

Week 9: The Multiplier Effect and Marginal Propensities

- **Topics:**
  - The Multiplier Concept: Autonomous Spending and Income Generation
  - Marginal Propensity to Consume (MPC), Marginal Propensity to Save (MPS)
  - Relationships: Average Propensity to Consume (APC), Average Propensity to Save (APS)
- **Learning Objectives:**
  - Calculate and interpret MPC, MPS, APC, and APS.
  - Understand how the multiplier effect operates in an economy.

Week 10: Theories of Investment

- **Topics:**
  - Investment Theories: Accelerator Theory, Tobin's Q Theory, and Neoclassical Theory
  - Determinants of Investment: Interest Rates, Business Expectations, Technology
- **Learning Objectives:**
  - Summarize key investment theories and their applications.
  - Identify major determinants of investment in an economy.

Week 11: The Role of Government in a Three-Sector Model

- **Topics:**
  - Introduction to the Three-Sector Model (Households, Firms, and Government)
  - Government Spending and Taxation
  - Impact of Government Policies on Economic Equilibrium
- **Learning Objectives:**
  - Explain the government's role in a three-sector economy.

- Analyse how government spending and taxation affect aggregate demand and economic stability.

Week 12: Revision & Examination

Lecturers: Professor Emmanuel Onwioduokit (Team Lead), Professor Godwin Akpan, & Dr. Godwin Bassey.

Assessment Methods

- **Assignments**: Weekly problem sets and reading responses
- **Tests**: 30 marks
- **Final Exam: 70 marks**

Recommended Texts

1. Blanchard, Olivier, *Macroeconomics*
2. Mankiw, N. Gregory, *Principles of Macroeconomics*